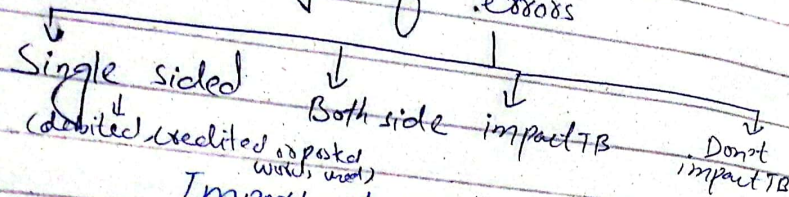


Rectification of errors

⇒ Errors can come:

- Before preparation of TB.
- After preparation of TB but before preparation of final accounts.
- Errors after final accounts.

Types of errors



Important types of errors

1. Error of omission:

- Not doing a second entry
- E.g. change of partial or complete

2. Error of Commission:

1. Write wrong amount

2. Wrong side amount

3. Error of principles

Basics → Revenue recorded as capital expenditure or vice versa.

Compensating errors:

⇒ Compensate of 1 error of errors

Example

Cash received from X \$100 was credited to: Y \$100.

Correct	Incorrect	Rectified
Cash 100 To X 100	Cash 100 To Y 100	Y A/c 100 To X 100 (error being rectified)

Q. Goods Purchased from Chinto \$1000, were not recorded.

Error	incorrect	Rectified
Purchase 1000 To Chinto 1000	-	Purchase 1000 To Chinto 1000

2) Goods sold to Chinto \$20,000 but recorded as \$2000.

Correct incorrect Rectified

Chinto 20,000	Chinto 20,000	Chinto 18,000
Sale 20,000	Sale 20,000	Sale 18,000
		(error being rectified)

Goods purchase from Chinto
\$100,000 recorded as \$120,000.

Correct incorrect Rectified

Purchase 100,000	Purchases 120,000	Chinto 20,000
Chinto 100,000	Chinto 120,000	Purchases 20,000

Credited sales to Chinto \$20,000
recorded in purchase book.

Correct incorrect Rectified

Chinto 20,000	Purchases 20,000	Chinti 40,000
Sales 20,000	Chinto 20,000	Purchase 20,000
		Sale 20,000